

Voluntary Alienation vs. Involuntary Alienation in Michigan

Alienation is the act of transferring ownership of a property. Alienation may be voluntary (with the owner's consent) or involuntary (without the owner's consent). One way to identify the type of alienation is by the method of transfer used.

Methods of Voluntary Alienation

- **Deed** : This is the written document used in real estate transactions to convey real property. When a real estate transaction closes, buyers receive a deed in their name.
- **Will** : A will is used to convey real property and personal property after death. When a person dies with a will in place, that individual died **testate** . Real property that is conveyed through a will is called a **devise** , and the person who is named as the recipient of the property is called the **devisee** . The terms "beneficiary" and "bequest" are only used to describe personal property, not real estate.

Methods of Involuntary Alienation

- **Foreclosure** : A lien holder may foreclose on a property if the property owner goes into default.
- **Bankruptcy** : If a property owner files for bankruptcy, title will be transferred to the bankruptcy trustee according to federal bankruptcy laws.
- **Partitioning** : The court may order that a property be partitioned to divide the property among litigants (such as in a divorce or a joint ownership situation).
- **Descent** : When someone dies without a will, that individual is said to have died intestate. The law of descent is used to determine who inherits both real and personal property. Legal descendants are called heirs.
- **Escheat to the state** : Sometimes, after a person dies intestate, neither heirs nor creditors exist, and the state must use the power of escheat to take the property. It may seem opportunistic of the government to take personal property when a person dies without a will or creditors who can make a claim on the property. But imagine what would happen if the property lay vacant and unused for years. By taking possession, the government can put the property back into use for the public good.
- **Eminent domain** : This is the power of the government to take private land for public use. When the government actually takes someone's property, it's called **condemnation** . The owner of the property is then offered the appraised value for the seized property. The owner can decline this amount and hire an attorney if the proffered price seems too low.
- **Natural processes** : Land can wash away, erode, or be lost in a landslide or other natural event, removing it from the property. Natural processes can also add to the land.
- **Adverse possession** : Sometimes private individuals can claim ownership of someone else's property by using it as their own for an extended period of time. Because of the significant ramifications of adverse possession (the loss of real property), the law requires specific criteria for alienation by adverse possession.
 - **There must have been 15 years** or more of continuous, uninterrupted adverse possession.
 - **Claim of title** must exist, even if there's a flaw in the title. In short, there has to be some reason for dispute over ownership, such as a claim of an error in legal records.
 - **Hostile possession** of the property, meaning unpermitted by the owner, not violent. If the owner were to give permission for the adverse possessor to use the property, it would negate any claim of adverse possession because the adverse possessor would have acknowledged, by acceptance of the permission, that she had no ownership right to the property.
 - **Open and notorious possession** is a type of possession where no attempt to conceal occupancy has been made.

A possessor who meets all of the above criteria doesn't necessarily acquire title automatically. To do so, the possessor must initiate a court action to "**quiet title** ." The claimant must satisfy the court that the requirements of adverse possession have been met. Taking title to property through inheritance will assume the title subject to the claim of the former adverse possessor. This is called **tacking** because the time of possession of the original adverse possessor is tacked onto the time of the next adverse possessor. In order to meet the requirements for adverse possession, possession must be uninterrupted from the first person to the next, and the involved possessors must have some kind of interest, such as an inheritance.

Example

Billy Bob has been using Genevieve's property for nine years, meeting all other terms of adverse possession (open, notorious, hostile, continuous, and uninterrupted, and he believes the property he's using is his own). If Billy Bob sells or gives his property to his son, Nate, who moves in right away and continues the adverse possession for another six years, Nate's six years tacks on to Billy Bob's nine years, and together they meet the 15-year statutory period required. If, however, Billy Bob moved to Rome for four years and then decided to sell his property to Seamus, who began using the property in an adverse possession manner, Seamus could not tack on his years to Billy Bob's to meet the statutory requirement. There is no shared interest, and the use has not been continuous and uninterrupted.

Bottom Line on Adverse Possession

When it comes down to it, adverse possession is a tricky business. Therefore, when you're involved in a transaction that deals with adverse possession, your best bet is (say it with us now) to encourage the parties to seek competent legal counsel. (You knew we were going to say that, right?)